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RBC European Rates & Economics Daily

- **Overnight news:** US/Iran developments; UK public finance data; Japan PMIs; South Korea GDCP & consumer confidence
- **Data and events:** European 'flash' PMIs
- **April 2026 MPC preview:** Waiting and seeing

Overnight news

In **overnight markets**, US and European equity futures fell 0.4% and 0.7% respectively and Asian equity indices are mostly in the red. 10y UST yields rose 1.5bp to 4.32% and the DXY edged higher. Front-month Brent crude contracts gained 1% to \$103/bbl and gold fell 0.6% to \$4700/Oz.

The White House has said that **President Donald Trump's ceasefire would stay in place indefinitely** (refuting media reports of a 3-5 day extension) while they wait for Iran to submit a new peace proposal. **Iran have said however that they have no plans to take part in negotiations** imminently.

Secretary of the US Navy John C. Phelan is stepping down effective immediately – marking an abrupt high-profile departure as the Navy helps oversee a blockade in the Strait of Hormuz.

In the **UK, March 2026 public finance data**, the final monthly release for the 2025/26 fiscal year, was released. Public Sector Net Borrowing in March was estimated at £12.6bn to leave total full year borrowing for 2025/26 at an initially estimated £132bn - marginally less than the £132.7bn forecast by the OBR at the spring statement. Borrowing in 2026/27 is estimated at 4.3% of (GDP), the current budget deficit (against which performance the UK's fiscal rules are gauged) is estimated at 1.7% GDP. Central Government net Cash Requirement (CGNCR) was £28.0 billion in March, to take cash borrowing in 2025/26 to £135.9 bn, £8.8bn below the £144.7bn projected by the OBR in March.

In **Japan, the 'Flash' April composite PMI** fell to 52.4 from 53.0 previously as manufacturing surged to 54.9 from 51.6 but the services sector fell to 51.2 from 53.4.

In **South Korea, Q1 GDP came in stronger** at 1.7% q/q (vs 0.9% consensus) from -0.2% q/q previously. However, **consumer confidence fell sharply** in April to 99.2 from 107.0 previously.

ECB Chief Economist Philip Lane said there's a logical fiscal case for the region's nations to issue joint bonds, though such a move would need to be underpinned by trust

A top envoy for US President Donald Trump, Paulo Zampolli, has asked FIFA to replace Iran with Italy in the upcoming World Cup, as reported by the Financial Times.

Region	GMT	Period	Data/Event	RBC	Consensus	Prior
France	07:45	Apr	Business confidence, manufacturing confidence,			97, 99, -9
Euro Area	09:00	Apr P	S&P Global euro area manufacturing, services,	..., ..., 50		
UK	09:30	Apr P	S&P Global UK manufacturing, services, composite	50.3, 49.8,		51, 50.5, 50.3
US	13:30	Mar	Chicago Fed national activity index			-0.11
Canada	13:30	Mar	Industrial product price, raw materials price index (%)			0.4, 0.6
US	13:30		Initial jobless claims, continuing claims (k)			
US	14:45	Apr P	S&P Global US PMI mfg, services, composite			52.3, 49.8, 50.3
Euro Area	15:00		ECB's Pre-Rate Decision Quiet Period			
US	16:00	Apr	Kansas City Fed Manf. Activity			11

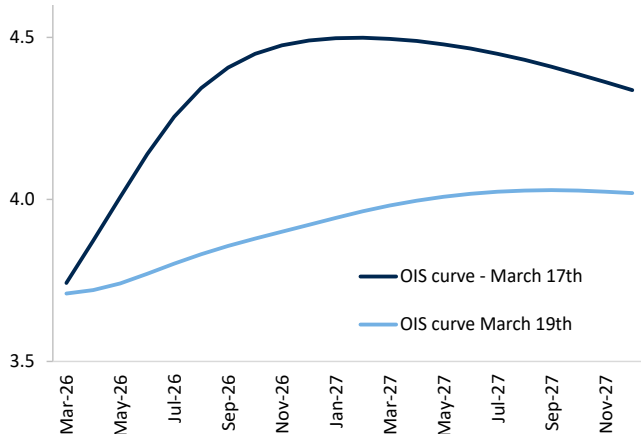
Sources: Bloomberg, Reuters, and RBC Capital Markets

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Data and events

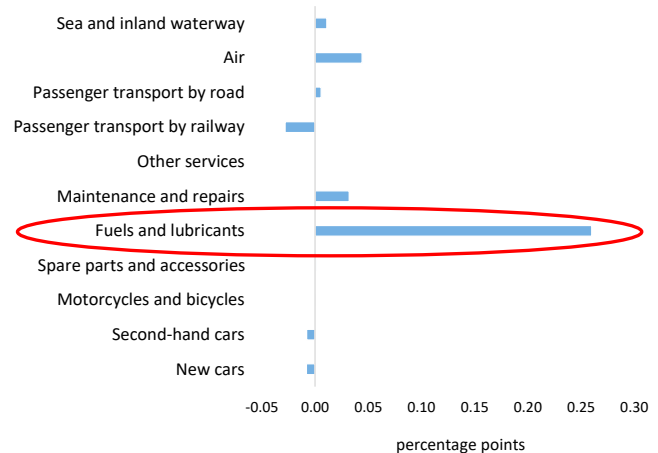
- UK 'flash' PMIs:** It was the downgrades between flash and final PMI releases that were the most notable aspect of the March PMI surveys. The Services PMI was 51.2 in the 'flash' release and 50.5 in the final release. The Manufacturing PMI was 51.4 in the 'flash' release and 51.0 in the final release. The main difference between the 'flash' and final PMI surveys is responses collected later in the month – the flash results are calculated from around 80-90% of total responses. That suggests, therefore, that activity slowed quite sharply in the latter part of March as the conflict in the Middle East went on for longer than initially expected. That is particularly true in the services sector which saw the larger downgrade with firms reporting that *"the war in the Middle East had a negative influence on client confidence and resulted in delayed investment decisions"*. One of the largest changes in the Services survey between February and March was in new orders which declined to 48.7 from 52.5 previously. We think, therefore, that the Services PMI could register under 50 this month for the first time since April 2025 when the immediate wake of the 'liberation day' tariff briefly pushed the PMI below the no-change 50 mark. Though the manufacturing sector saw a larger jump in input prices between February and March, immediate impact appeared more limited with output posting a marginal fall in March but new orders remaining in positive territory and we see the Manufacturing PMI remaining just about 50 this month.
- We expect to see a further softening in the **euro area 'flash' composite PMI** to 50 in April, from 50.7 in March. Other sentiment surveys like the euro area Sentix and ZEW weakened further in April, although these are surveys of investors rather than business. The sample period for this survey is also likely to cover a period of higher oil prices than the period for March. We will be watching the price indicators particularly in April, because the ECB has signalled that this is one of the key metrics they are watching to judge potential second-round effects. In March, we saw a sharp increase in input price indicators, although there was a much more modest rise in the output price numbers.

Exhibit 1: Market pricing of Bank Rate before and after March MPC meeting (percent)



Source: Macrobond, Bank of England, RBC Capital Markets

Exhibit 2: Contributions from the transport category to change in the annual CPI inflation rate (ppt)



Source: Macrobond, Bank of England, RBC Capital Markets

April 2026 MPC preview

- MPC commentary since the March meeting has broadly sought to soften its messaging from the (hawkish) March meeting.
- While the March meeting focused on the inflationary impact of the conflict in the Middle East, with the message that the MPC stood *"ready to act as necessary"*, subsequent comments have reflected the trade-offs facing the MPC to a greater degree.
- The post-March messaging from the MPC has been more 'wait and see' in tone, with Governor Bailey placing himself firmly in that camp.
- At the April meeting, we expect the MPC to hold Bank Rate at 3.75% in an 8-1 vote (Chief Economist Huw Pill the lone hawkish dissenter).

- More interesting for us at this meeting is how the MPC adjusts its language to reflect recent rhetoric while retaining the '*readiness to act*' message from March.
- This is an MPR meeting, so it will include fresh forecasts along with a press conference. An upward revision to the Bank's CPI inflation forecasts is a given but as interesting will be the assessment of the growth impact of current events.

For the full preview see [here](#).

Exhibit A: RBC growth and inflation forecasts

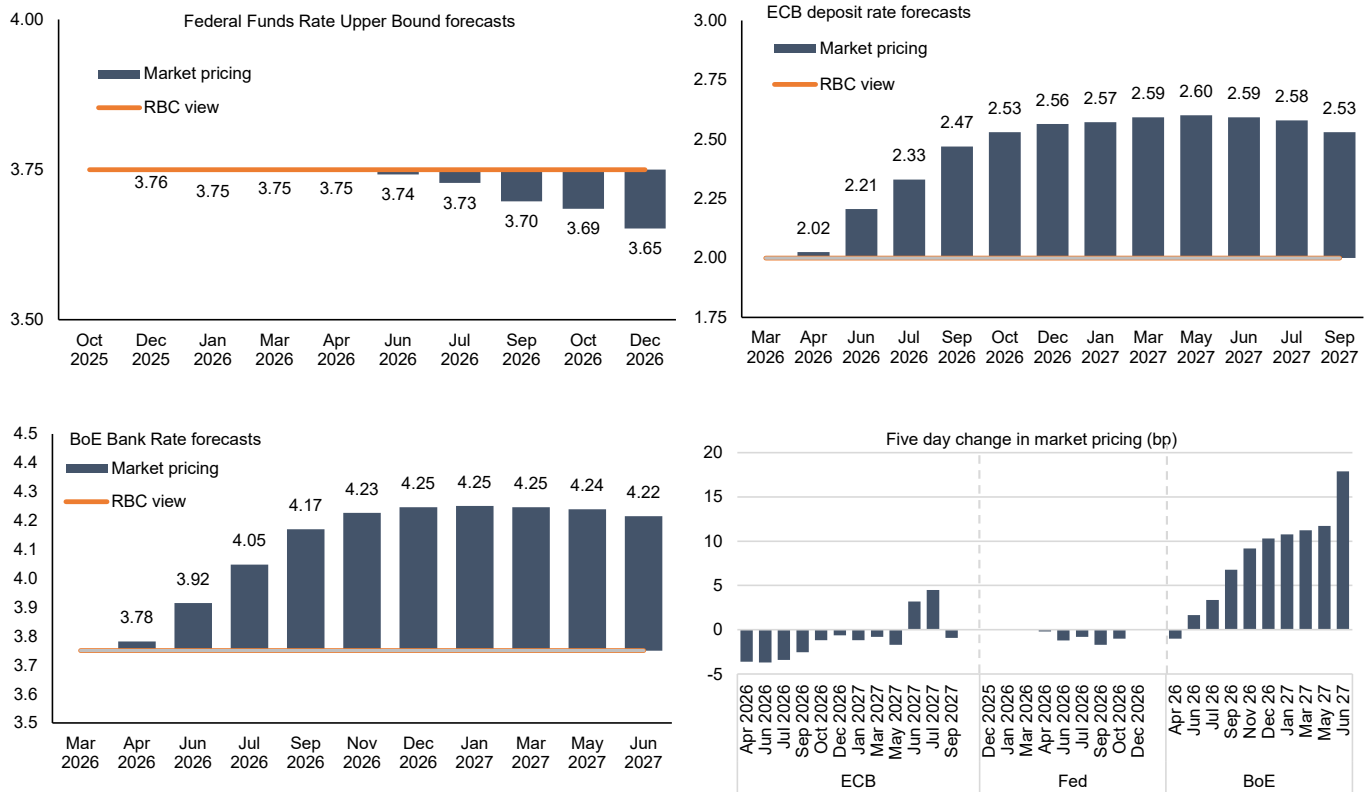
	2025		2026				2027		Y/Y		
	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	2025	2026	2027
US											
Growth (q/q saar %)	4.4	3.8	4.4	0.7	1.7	1.8	1.8	1.9	2.3	2.4	1.8
Inflation (average %y/y)	2.9	2.7	2.6	2.8	2.7	2.6	2.4	2.3	2.7	2.7	2.3
Euro area											
Growth (q/q %)	0.3	0.2	0.3	0.5	0.5	0.4	0.3	0.3	1.5	1.3	1.5
Inflation (average %y/y)	2.1	2.1	2.0	2.7	2.6	2.6	2.3	2.2	2.1	2.5	2.2
UK											
Growth (q/q %)	0.1	0.1	0.2	0.3	0.3	0.3	0.4	0.4	1.4	0.8	1.5
Inflation (average %y/y)	3.8	3.4	3.2	2.4	2.3	2.2	2.3	2.2	3.4	2.5	2.3
Canada											
Growth (q/q saar %)	2.4	-0.6	1.3	1.7	1.8	1.5	1.3	1.3	1.7	1.3	1.5
Inflation (average %y/y)	2.0	2.3	2.3	2.5	2.3	2.1	2.0	2.0	2.1	2.3	2.0
Australia											
Growth (q/q %)	0.5	0.8	0.6	0.7	0.5	0.5	0.6	0.6	1.9	2.5	2.3
Inflation (average %y/y)	3.2	3.7	3.5	3.6	3.0	3.1	3.2	3.2	2.9	3.3	3.1

Exhibit B: RBC yield forecasts

USD						CAD					
21-Apr	Q1 26	Q2 26	Q3 26	Q4 26		21-Apr	Q1 26	Q2 26	Q3 26	Q4 26	
Fed Funds Mid	3.63	3.63	3.63	3.63	3.63	BoC rate	2.25	2.25	2.25	2.25	2.25
3m T-bill	3.67	3.63	3.66	3.68	3.68	3m CTB	2.27	2.20	2.20	2.20	2.25
2y TSY	3.77	3.65	3.65	3.60	3.45	2y CAN	2.81	2.80	2.70	2.80	2.90
5y TSY	3.90	3.80	3.80	3.75	3.60	5y CAN	3.08	3.15	3.00	3.05	3.10
10y TSY	4.29	4.25	4.25	4.25	4.15	10y CAN	3.47	3.50	3.35	3.30	3.30
30y TSY	4.90	4.90	4.85	4.85	4.80	30y CAN	3.90	3.85	3.75	3.70	3.65
EUR						GBP					
21-Apr	Q1 26	Q2 26	Q3 26	Q4 26		21-Apr	Q1 26	Q2 26	Q3 26	Q4 26	
ECB Depo rate	2.00	2.00	2.00	2.00	2.00	BoE rate	3.75	3.75	3.75	3.75	3.75
3m ESTR	2.03	1.97	2.00	2.03	2.06	3m SONIA	3.80	3.70	3.70	3.70	3.70
2y Schatz	2.52	2.58	2.80	2.90	3.00	2y Gilts	4.26	4.37	4.25	4.30	4.35
5y OBL	2.67	2.69	2.75	2.80	2.90	5y Gilts	4.37	4.43	4.40	4.45	4.50
10y Bund	3.00	2.98	3.10	3.20	3.25	10y Gilt	4.87	4.88	4.80	4.90	5.00
30y Bund	3.55	3.46	3.75	3.80	3.90	30y Gilt	5.58	5.49	5.50	5.55	5.60
2y ASW	17	20	20	15	10	2y SONIA ASW	-15	-20	-15	-15	-15
5y ASW	12	15	15	10	5	5y SONIA ASW	-26	-20	-15	-15	-15
10y ASW	3	5	5	0	-5	10y SONIA ASW	-48	-40	-30	-30	-30
30y ASW	-36	-30	-30	-35	-40	30y SONIA ASW	-75	-65	-55	-50	-50
AUD						NZ					
21-Apr	Q1 26	Q2 26	Q3 26	Q4 26		21-Apr	Q1 26	Q2 26	Q3 26	Q4 26	
RBA Rate	4.10	4.10	4.10	4.10	4.10	RBNZ Rate	2.25	2.25	2.25	2.25	2.25
2y TSY	4.58	4.35	4.20	4.10	4.00	2y Swap	3.43	3.10	3.15	3.10	3.00
10y TSY	4.91	5.00	4.55	4.35	4.25	10y Swap	4.24	4.15	4.25	4.30	4.25

Sources: Bloomberg, RBC Capital Markets

Exhibit C: Central bank market pricing and RBC forecasts



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